Direct Capitalization: Walgreens, 4385 S Archer Ave, Chicago, IL 60632

Riley Otto · Effective date October 2026 · Prepared October 13, 2026; Part 2 revision October 26, 2026 · Data: CoStar sale comparable reports dated October 7, 2026

Property and lease abstract

The subject is a single-tenant Walgreens at 4385 South Archer Avenue, Chicago, IL 60632, on the hard corner of Archer Avenue and Kedzie Avenue, one mile south of Interstate 55 and a half mile north of the CTA Orange Line Kedzie station. The Boulder Group offering memorandum reports a 15,120 SF building built in 2001 on a 51,394 SF site, with a new roof and parking lot installed by the landlord in 2015 at a cost of more than $165,000 and a 20-year transferable roof warranty. Reported store sales were about $4 million a year at the time of the offering.

Lease term	Offering memorandum	Assumed for this assignment
Tenant	Walgreens (Walgreen Co.), then rated BBB by S&P	Walgreens, privately held by Sycamore Partners since August 2025; ratings withdrawn
Rent commencement	December 16, 2000	October 1, 2026
Lease expiration	December 31, 2030	September 30, 2046 (20-year term)
Renewal options	Eight 5-year options	Eight 5-year options, carried forward
Annual rent (NOI in the OM)	$391,170 ($25.87 per SF)	$391,170, flat for the term
Lease type	NN: landlord responsible for roof and structure; tenant pays taxes, insurance, and operating costs	Same
Asking price and cap rate in the OM	$6,686,667 at 5.85%	Not relied on; superseded by the cap rate analysis below

The OM does not print a rent schedule or escalations, which is typical of Walgreens leases of this vintage: the rent is flat through the primary term and the options. The $391,170 is presented in the OM as net operating income because the tenant reimburses or pays directly every operating expense except the roof and structure, so it is treated here as the contract rent. Under the NN structure the landlord's only unreimbursed obligations are roof and structural repairs and whatever management or administrative cost the owner incurs; those are the items that separate potential gross income from NOI in the statement that follows.

Income

Potential gross income is the contract rent of $391,170 a year ($25.87 per SF), flat for the 20-year term that begins October 1, 2026. The OM prints no escalations and Walgreens leases of this type are flat through the primary term, so no rent growth is assumed.

Reimbursements are the real estate taxes and insurance the tenant pays under the NN lease, $76,949 and $12,000 respectively, for a total of $88,949. They are shown as income and again as fixed expenses so that the statement follows the assigned format; they net to zero and do not change NOI.

Vacancy and collection loss is set at 3 percent of potential gross income plus reimbursements, or $14,404. A single-tenant building on a new 20-year lease carries little rollover risk, but Walgreens lost its investment grade ratings in fiscal 2024, was taken private by Sycamore Partners in August 2025 with ratings withdrawn, and announced 1,200 to 1,300 store closures over three years in October 2024. A reported $4 million in annual store sales places this location well above the chain average and argues against a higher allowance.

Effective gross income is $465,716.

Expenses

Real estate taxes (fixed). The Walgreens site is ten Cook County parcels, all addressed 4385 S Archer Ave and all owned by ExchangeRight NLP 14, in tax code 72127, Lake Township. The Cook County Assessor's open data (Assessed Values dataset) gives the following 2024 Board of Review values, which the 2025 certified values carry forward unchanged:

PIN	Class	2024 mailed AV	2024 Board of Review AV (= 2025 certified)
19-02-414-001	590	$20,015	$19,749
19-02-414-002	517	$28,832	$24,804
19-02-414-003	517	$58,169	$47,235
19-02-414-004	517	$113,890	$92,600
19-02-414-008	590	$13,023	$12,716
19-02-414-009	590	$13,499	$13,192
19-02-414-010	590	$20,184	$19,447
19-02-414-044	517	$33,519	$29,491
19-02-414-045	517	$92,091	$74,829
19-02-414-046	590	$50,908	$48,944
Total		$444,130	$383,007

Source: Cook County Assessor, Assessed Values dataset (uzyt-m557) and Parcel Addresses dataset (3723-97qp), datacatalog.cookcountyil.gov, read October 26, 2026; parcel pages at cookcountyassessoril.gov for PINs 004, 008 and 045.

The tax is computed as assessed value times the state equalization factor times the composite rate: $383,007 times 3.0355 (the final 2024 Cook County equalization factor announced by the Illinois Department of Revenue on May 29, 2025) equals an equalized assessed value of $1,162,618; times the 2024 City of Chicago general composite rate of 6.618606 percent (Cook County Clerk, 2024 Tax Rate Report) equals $76,949, or $5.09 per SF. The 2024 bill, payable in 2025, is the most recent full bill; the 2025 assessed values are identical and the 2025 rate is not yet published, so $76,949 is carried as the stabilized figure. The assessed values imply a market value of about $1.53 million at the 25 percent commercial assessment level, far below the value concluded below, so the taxes could rise materially at the next Lake Township reassessment in 2027 if the Assessor captures the sale. Under the NN lease that risk falls on the tenant.

Insurance (fixed, estimated). No policy is in the OM. The estimate assumes a replacement cost of about $4.2 million (15,120 SF at $275 per SF for 2026 Chicago retail construction), a property premium near $0.30 per $100 of insured value, or about $12,500, and about $2,500 of general liability, less a credit for the tenant carrying its own contents and liability coverage: $12,000 a year, or $0.79 per SF. Illinois commercial property premiums rose 5.6 percent in 2025 per the Illinois Department of Insurance, so this is set at the upper end of the usual $0.40 to $0.80 per SF range for single-tenant retail in the Midwest. The tenant reimburses it.

Management (variable). An owner of a net leased building still pays for lease administration, accounting, tax appeals and inspections. Two percent of effective gross income, $9,314, is used; it is not reimbursed.

Reserves for replacement (variable). The landlord is responsible for the roof and structure, and the OM shows the landlord also paid for the 2015 roof and parking lot replacement, so both are reserved. Unit costs are taken from 2026 published cost guides (installed TPO roofing $6 to $12 per SF; asphalt mill and overlay $2.50 to $5.50 per SF) that track RSMeans ranges, and should be confirmed in RSMeans Online with the Chicago city cost index before the figure is relied on.

Component	Quantity	Unit cost	Replacement cost	Life	Annual reserve
TPO roof	15,120 SF	$9.00	$136,080	20 years	$6,804
Parking lot mill and overlay	31,000 SF	$4.00	$124,000	15 years	$8,267
Structural contingency					$2,000
Total, rounded					$17,000

The 2015 roof carries a 20-year transferable warranty through 2035, which lowers the near-term exposure but not the annualized reserve over a 20-year lease.

NOI statement

Line	Basis	Amount
Potential gross income	Contract rent, $25.87 per SF, flat	$391,170
Plus: reimbursements	Taxes $76,949 plus insurance $12,000	$88,949
Less: vacancy and collection loss	3.0% of PGI plus reimbursements	($14,404)
Effective gross income		$465,716
Less: fixed expenses, real estate taxes	2024 bill, tax code 72127	($76,949)
Less: fixed expenses, insurance	Estimated	($12,000)
Less: variable expenses, management	2.0% of EGI	($9,314)
Less: variable expenses, reserves	Roof, parking lot, structure	($17,000)
Net operating income	$23.18 per SF	$350,452

The OM's $391,170 "NOI" is the rent before the landlord's own costs. The $40,718 difference is the vacancy allowance, management, and reserves that a buyer underwrites against an NN lease.

Cap rate selection

Sources. The Boulder Group, Net Lease Market Report Q3 2026 (October 2026): overall single tenant net lease asking cap rate 6.92 percent; retail 6.69 percent; drug store sector 7.94 percent; Walgreens 8.20 percent across all terms; median Walgreens asking cap rate by lease term remaining of 6.85 percent for 15 to 19 years, 7.60 percent for 10 to 14 years, 8.65 percent for 6 to 9 years and 9.30 percent for 5 years and under; CVS 6.40 percent for 15 to 19 years. The same report lists a closed Walgreens sale in Houston, TX in July 2026 at $6,150,000, $419 per SF, a 7.66 percent cap rate with 7 years remaining. The Boulder Group, Net Lease Tenant Profiles Q3 2026: Walgreens 15-year term 6.40 to 6.75 percent, 10-year 7.40 to 8.00 percent, 5-year 8.60 to 9.00 percent; typical lease triple net, 15 years; tenant private and not rated. Aggregated listing data (tradenetlease.com, May 2026): 281 Walgreens listings at an average asking cap rate of 7.82 percent with 8.2 years of average remaining term. The 10-year Treasury was above 5 percent through the quarter.

Selection. The subject's new 20-year term places it in Boulder's longest bucket, where Walgreens asks 6.85 percent and the tenant profile range is 6.40 to 6.75 percent. Three factors push the subject toward the lower end of that range: the term is 20 years rather than 15, the store's reported sales of about $4 million are well above the chain average, and the site is a hard-corner Chicago infill location with 60,000 vehicles a day and a CTA station a half mile away. Two factors push the other way: the lease is NN rather than the triple net structure the profile assumes, leaving the roof, structure and parking lot with the landlord, and the rent is flat for 20 years with no escalations while Treasury yields exceed 5 percent. The one closed Walgreens sale in the report, Houston in July 2026 with 7 years remaining, traded at 7.66 percent, almost 100 basis points inside the 8.65 percent asking median for its term bucket, which shows that well-located stores close inside the medians. Netting these, a cap rate of 6.75 percent is selected, at the top of the 15-year profile range and 10 basis points inside the 15 to 19 year asking median.

Value by direct capitalization

Item	Amount
Net operating income	$350,452
Capitalization rate	6.75%
Indicated value	$5,191,881
Rounded	$5,190,000
Per SF of building (15,120 SF)	$343
Per SF of land (51,394 SF)	$101

Sensitivity: at 6.50 percent the value is $5,392,000 ($357 per SF); at 7.00 percent it is $5,006,000 ($331 per SF).

The indication is below the 2016 offering price of $6,686,667 at 5.85 percent. The difference is the cap rate: the same rent capitalized at today's Walgreens rates, after the tenant's loss of its investment grade rating and a 10-year Treasury above 5 percent, is worth about 22 percent less than it was when the OM was written, and the buyer now also underwrites vacancy, management and reserves that the OM netted at zero.